# China EV/ESS battery

## Five FAQs on demand, competition and CATL

**Equities**
Automobiles

**China**

- Slowing battery growth not the biggest concern – ESS demand visibility is the key swing factor
- The divergence between strong ESS sales and slower installations raises questions about demand sustainability
- CATL (Buy) is our preferred name: valuation is compelling, but a sustained re-rating needs greater conviction

**Yuqian Ding***
**Head of China Technology & Autos Research**
The Hongkong and Shanghai Banking Corporation Limited
yuqian.ding@hsbc.com.hk
+852 2288 5108

**Elaine Chen* (Reg. No. S1700524030001)**
**Analyst, China Autos**
HSBC Qianhai Securities Limited
elaine.chen@hsbcqh.com.cn
+86 010 5795 2364

** Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations*

**1. Is battery demand losing momentum?** Not uniformly. EV battery growth is moderating from a high base, but remains supported by global electrification and higher battery content per vehicle. ESS is the bigger uncertainty. China's ESS battery sales grew 84% y-o-y in 8M26, led by 98% growth in domestic sales. Yet domestic ESS installations rose only 29%. Some lag between battery deliveries and project commissioning is normal, but the divergence raises questions about the timing and sustainability of underlying demand. Tender activity remains an important leading indicator, although execution and commissioning will be the ultimate tests. Expectations for slower ESS growth in 2027 are reasonable; suggestions of outright market contraction look premature.

**2. Are ESS capacity restrictions tightening supply?** Yes, gradually. Tightening of capacity approvals could improve industry utilisation and pricing discipline over time. The measures focus on unfilled capacity additions rather than existing facilities or ESS deployment. Given CATL's scale, high utilisation rate and committed capacity pipelines, we see limited near-term operational impact, with potential medium-term benefits from a more disciplined supply environment.

**3. Competition – is CATL losing its competitive edge?** Not yet. CATL's market share remains resilient despite second-sourcing efforts by OEMs. We see selective share losses and margin normalisation as temporary risks rather than a broad erosion of CATL's moat.

**4. Will battery tax policy changes put pressure on pricing?** Weaker demand is the bigger risk to pricing power. The export VAT rebate phase-out and consumption tax adjustment are known factors; the incremental risk is that softer downstream demand weakens battery makers' ability to pass on costs. Lithium carbonate prices have retreated, potentially cushioning the impact. Our focus is on contract pass-through, gross margins, and profit per GWh rather than headline ASP.

**5. Has CATL's correction gone too far?** At around 13x 2027e PE, the market is pricing in a tougher battery cycle, but we think CATL's competitive advantage remains largely intact. This underpins our preference for the stock. However, a low multiple alone might be insufficient to drive a sustained re-rating. We see three tests: earnings delivery against expectations, resilience in unit economics amid pricing pressure, and improving visibility on overseas EV and domestic ESS demand. We think fundamentals remain more resilient than sentiment suggests, but evidence of sustainable growth and returns is needed to unlock further upside.

**Less bull, more bite**
**The 25th edition of the EM Sentiment Survey**
Click to view

**Disclosures & Disclaimer**
This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

**Issuer of report:** The Hongkong and Shanghai Banking Corporation Limited

**View HSBC Global Investment Research at:**
*https://www.research.hsbc.com*

知识星球：前沿信息收录
VX:FCCNN88

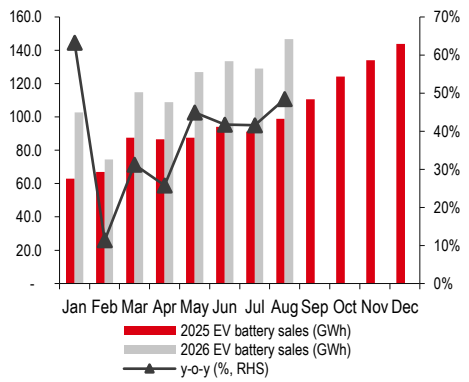
## Q1. Is battery demand losing momentum, and where is the key uncertainty?

**China remains the global battery demand barometer, but the debate is shifting from EV growth deceleration to ESS demand visibility.**

China battery makers supplied over 70% of global EV battery demand and more than 80% of global ESS battery demand in 2025, making China battery sales – including exports – a key indicator of global battery demand. ESS is also becoming increasingly important in the industry mix – it accounts for 32% of China's battery sales in 8M26, up from 26% in 2025.

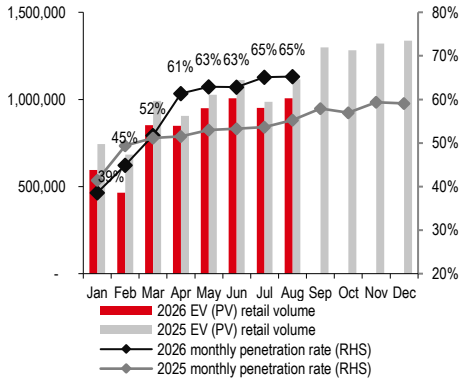
**EV battery growth is slowing, but remains solid.** With monthly EV penetration in China already above 65%, investors increasingly recognise that global EV battery growth is moderating from a high base. Weak domestic vehicle demand adds to the pressure, with China's EV retail sales declining 12% y-o-y in 8M26. Nevertheless, China's EV battery sales still grew 39% y-o-y over the same period, supported by continued electrification of commercial vehicles and rising battery capacity per vehicle (see *China EV/ESS battery: Fundamentals hold; 2Q earnings are the key*, 6 July 2026). We believe the deceleration in EV battery growth is largely understood by the market, making it a less incremental source of downside surprise.

**Exhibit 1. China EV battery sales volumes (incl. exports) booked +39% y-o-y in 8M26**




Source: CABIA, HSBC

**Exhibit 2. Domestic EV PC retails declined 12% y-o-y in 8M26, with Aug monthly EV penetration at 65%**




Source: CPCA, HSBC

**ESS is the key swing factor, with sales growth strong, but demand conversion under scrutiny.** China's ESS battery sales, including exports, rose 84% y-o-y in 8M26, according to CABIA, with exports up 42% and domestic sales 98%. However, domestic ESS installations in 8M26 were equivalent to only 21% of domestic battery sales, based on CABIA and CNESA data, down from 59% in 2025. This widening gap has become a major source of investor concern over underlying demand quality and the risk of inventory accumulation.

**The sales-installation gap partly reflects project timing, but execution risk should not be dismissed.** Battery revenue is generally recognised when projects are grid-connected. The period from shipment to grid connection can range from six months to two years, and longer for overseas projects. Recent tender wins may therefore take time to translate into installations. Some domestic projects have also been pushed into 2027 as details about provincial implementation under the national storage policy framework continue to roll out.

However, timing differences alone may not explain the entire gap. The pace of policy implementation, project execution and the risk of delays or cancellations in longer-cycle projects remain key uncertainties. ***Until these become clearer, concerns over domestic ESS absorption are likely to remain a recurring sector overhang.***

知识星球：前沿信息收录
更多一手投研资料扫码加微信

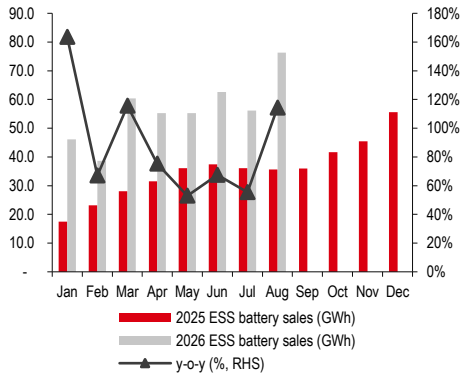
知识星球：前沿信息收录
VX:FCCNN88

**Tender activity provides a more forward-looking read-through, albeit with signs of moderation.** We believe monthly tender activity is more useful for assessing forward domestic ESS demand than the sales-installation gap alone. Domestic ESS tenders grew 86% y-o-y in 8M26, although growth slowed to 15% y-o-y in September (CNESA data). A deceleration in domestic ESS growth in 2027 is already widely anticipated by market; ***we nevertheless view expectations of an outright market contraction as overly pessimistic at this stage, pending further evidence.***

**Lower lithium prices could also improve ESS project economics and unlock additional applications.** The key question is, therefore, not whether ESS growth will slow, but whether tender activity can translate into actual project execution and sustained battery demand.

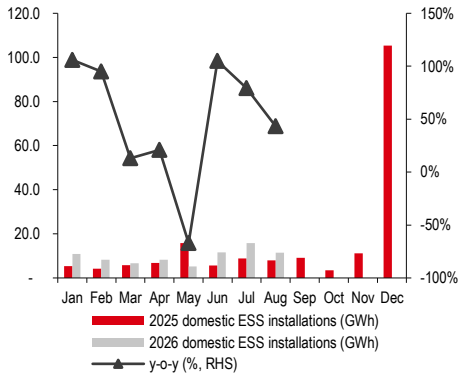
**What to watch:** Monthly ESS tender growth, domestic installations, project delays and cancellations, and the timing of policy implementation. A sustained improvement in installation conversion would be a more meaningful catalyst than strong battery sales alone.

**Exhibit 3. China ESS battery sales volumes (incl. exports) booked +84% y-o-y in 8M26**



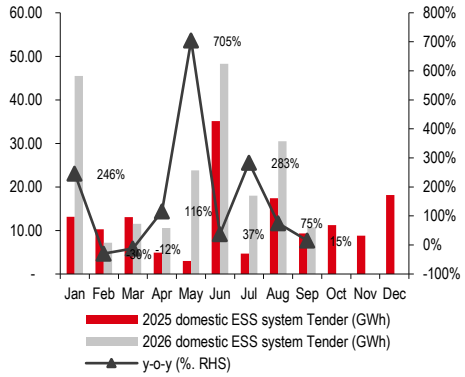

Source: CABIA, HSBC

**Exhibit 4. Domestic ESS installation rose 29% y-o-y in 8M26**



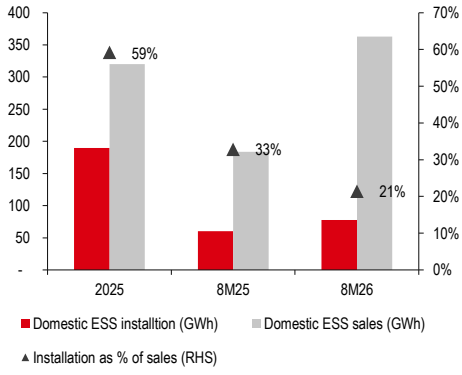

Source: CNESA, HSBC

**Exhibit 5. Domestic ESS system tender booked 15% y-o-y in Sept 2026**




Source: CNESA, HSBC

**Exhibit 6. Domestic ESS installations in 8M26 were equivalent to only 21% of domestic battery sales**




Source: CABIA, CNESA, HSBC



知识星球：前沿信息收录
VX:FCCNN88

## Q2. Are China's ESS capacity restrictions tightening supply, and what would this mean for CATL?

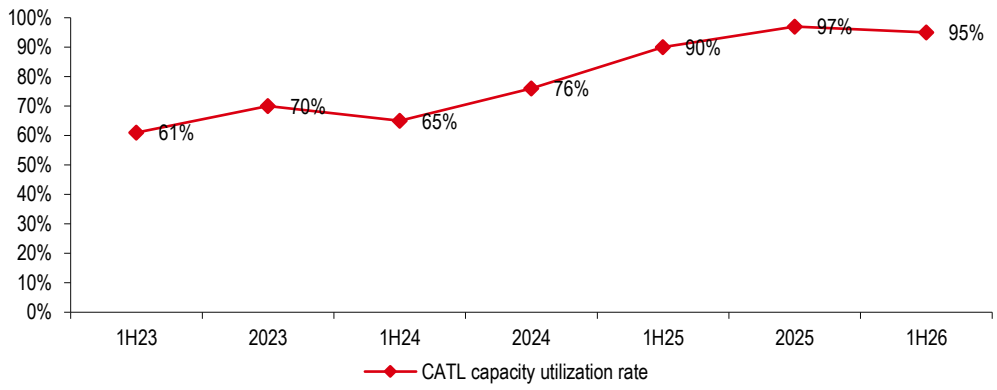
**Capacity discipline is tightening gradually rather than through a blanket ban on ESS expansion.**

The policy direction is not new. It can be traced back to late 2025, when MIIT convened industry meetings and called for action against irrational competition in the battery sector, including concerns over potential overcapacity. From mid-2026 through 3Q26, industry feedback suggests that the focus has shifted towards more concrete checks on ESS capacity utilisation and tighter scrutiny of filings for incremental capacity.

**The measures appear aimed primarily at curbing new, unfilled capacity, not restricting ESS deployment.** Existing facilities and projects already approved or under construction appear less directly affected, although implementation may vary by project. The policy intent is to prevent further overcapacity and price-driven expansion, rather than slow the development of energy storage itself.

**For CATL, the near-term capacity impact looks limited, with potential upside to industry economics.** Given CATL's existing capacity base, committed expansion pipeline, and high utilisation, we see little evidence of an immediate capacity constraint. If tighter scrutiny curbs marginal supply additions, it could gradually improve industry utilisation and pricing discipline, particularly in lower-end segments where competition has been most aggressive.

**Exhibit 7. CATL's capacity utilisation rate has remained at a high level**




Source: Company data, HSBC

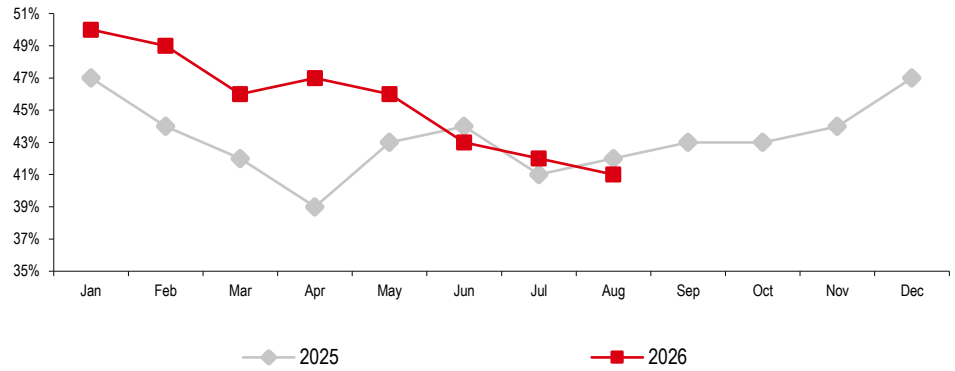
## Q3. Are domestic competition and overseas policy risks undermining CATL's competitive position?

**De-CATLisation remains more a bargaining strategy than a proven structural shift.** Despite recurring concerns over customer diversification, CATL's domestic EV battery market share rose to 44.6% in 8M26 from 43% in 2025. Its overseas EV battery share stood at 34% in 7M26, versus 30% in 2025. Current market-share data do not yet point to structural erosion of CATL's competitive position.

知识星球：前沿信息收录
更多一手投研资料扫码加微信

知识星球：前沿信息收录
VX:FCCNN88

**Exhibit 8. CATL's 8M26 domestic EV battery MS was 45% vs 43% in 2025**




Source: CABIA, HSBC

**China: Second sourcing is real, but lasting displacement is unproven**

**We see selective share losses and margin normalisation as more temporary risks than a broad erosion of CATL's moat.** When demand visibility weakens, OEMs naturally intensify cost-cutting efforts and explore alternative suppliers to strengthen bargaining power. This is most evident in mature, price-sensitive models, where second- and third-tier suppliers can compete more aggressively.

The risk to CATL's domestic share and pricing is genuine, but second-sourcing does not automatically translate into a lasting shift away from CATL. Winning a programme is one thing; delivering at scale with consistent quality, high manufacturing yields and competitive technology is another.

CATL's scale, execution, technology and breadth of customer relationships remain meaningful advantages, particularly in higher-end platforms and technically demanding programmes. A more bearish conclusion would require evidence that competitors can consistently win high-value programmes while matching CATL's quality, delivery and cost economics.

**Europe: Limited direct trade risk; LFP remains a structural advantage**

**Potential EU restrictions on Chinese-made PHEVs pose limited direct risk to CATL.** More than 60% of CATL-equipped vehicles currently sold in Europe are locally produced (Rho-motion data), while imported PHEVs account for less than 10%. Even if restrictions were tightened, the direct impact on CATL would likely be more contained than on the affected OEMs.

**Exhibit 9. More than 60% of CATL-equipped vehicles currently sold in Europe are locally produced**

| | 7M26 | 2025 |
|---|---|---|
| **CATL Europe exposure as of total EV battery installation** | **20%** | **17%** |
| **Amid which** | | |
| - Europe produced BEV | 60% | 63% |
| - Europe produced PHEV | 3% | 4% |
| - Europe imported BEV | 34% | 31% |
| - Europe imported PHEV | 4% | 1% |
| **Total** | **100%** | **100%** |

Source: Rho Motion, HSBC

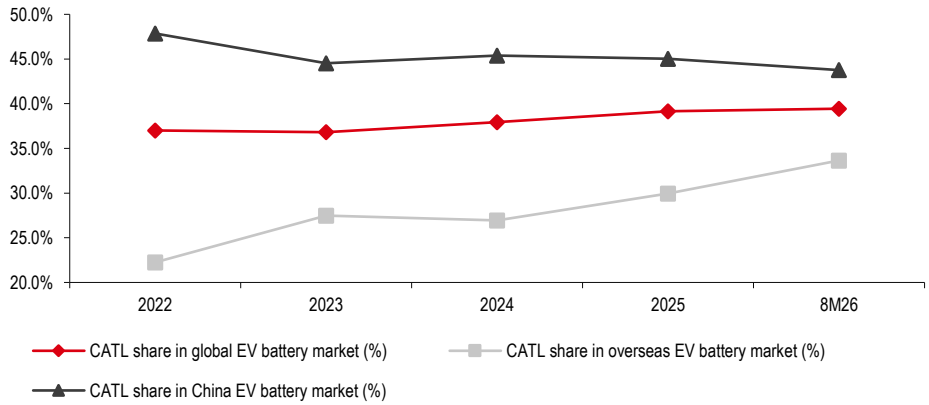


知识星球：前沿信息收录
VX:FCCNN88

More importantly, European OEMs increasingly rely on Chinese suppliers for cost-competitive LFP batteries, including for locally manufactured vehicles. As automakers push towards more affordable EVs, LFP's cost advantage should remain relevant. Korean battery makers remain more heavily focused on ternary/NCM chemistry, while much of their recent LFP expansion and capital allocation has been directed towards the US market. We therefore see limited scope for material near-term displacement of CATL in Europe.

CATL's global competitive position remains defensible, but its moat does not insulate it from pricing pressure. The key question is not whether OEMs will diversify sourcing – they will – but whether alternative suppliers can convert tactical share gains into sustainable, through-cycle competitiveness.

**Exhibit 10. CATL's 8M26 global EV battery MS was 39.4% vs 39.1% in 2025**




Source: SNE Research, HSBC

## Q4. Will battery tax policy changes put pressure on pricing?

**Weaker downstream demand is the key risk to pricing power, while lower lithium costs could cushion the impact of policy changes.**

The battery export VAT rebate phase-out was announced in January 2026, while the consumption tax adjustment was announced in July. Neither is new information. The latest EV export VAT rebate cut, announced on 12 October and effective from April 2027, might further squeeze OEM margins and strengthen their incentive to push back on battery price increases.

**Exhibit 11. China battery tax-related policy changes**

| | Timeline | | |
|---|---|---|---|
| | **Original** | **Since 1 April 2026** | **Since 1 Jan 2027** |
| **China Battery export VAT rebate phase-out – announced in Jan 2026** | 9% | 6% | 0% |
| | **Original** | **Since 1 Sept 2026** | **Since 1 Sept 2027** |
| **China Battery consumption tax adjustment – announced in July 2026** | tax free | 2% | 4% |

Source: MIIT, HSBC

The key question is, therefore, not simply the headline cost impact of these policies, but whether weaker downstream demand undermines battery makers' bargaining power with OEMs and ESS customers. Even if the direct cost burden is manageable, a softer demand environment could make contract negotiations more difficult and limit the ability to pass through policy-related costs.

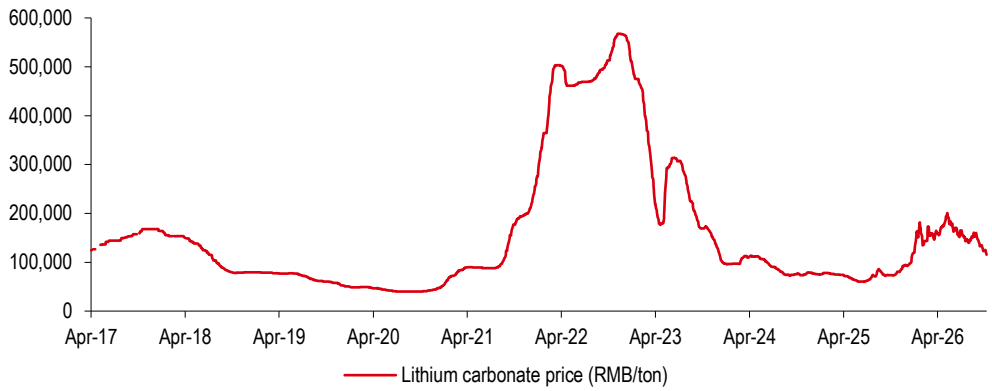
知识星球：前沿信息收录
更多一手投研资料扫码加微信

知识星球：前沿信息收录
VX:FCCNN88

**Lower lithium prices provide a partial offset.** Historically, battery contracts have incorporated raw-material pass-through mechanisms. As a result, lower lithium prices can reduce reported battery ASPs without a necessary proportionate decline in profit per GWh. Lithium carbonate prices have recently retreated to around RMB115k/t, versus a peak of RMB190k/t in 1H26. We believe the lower cost base could partly offset the impact of export rebate changes, meaning the overall pricing environment in 4Q26 and 2027 is not necessarily more challenging than in 1H26.

That said, the benefit depends on contract structures, renewal timing and competitive dynamics. Lower input costs do not automatically translate into higher margins if battery makers are required to share the savings with customers. Conversely, headline ASP declines should not be interpreted as margin deterioration without examining the corresponding movement in raw-material costs.

**Exhibit 12. Lithium carbonate prices have recently retreated to around RMB115k/t, down from a peak of RMB190k/t in 1H26**




Source: Wind, HSBC

**For CATL, realised pass-through matters more than headline ASPs.** We monitor three indicators: **1) Contract renewals:** Whether policy-related costs are successfully passed through to OEMs and ESS customers. **2) Gross margins:** Whether lower lithium costs offset pricing pressure and any less favourable sales mix. **3) Profit per GWh:** Whether unit economics remain resilient despite potential ASP declines and selective market-share trade-offs.

A higher domestic sales mix could also weigh modestly on margins, as seen in 2Q26. Overall, we believe the combination of lower lithium costs and established pass-through mechanisms provides a cushion, but not a guarantee, against weaker downstream bargaining conditions.

## Q5. Investment implications: Has CATL's correction gone too far?

**Valuation is attractive, but a sustained re-rating requires greater confidence in the earnings outlook** (see *CATL: Fundamentals on track, sentiment yet to catch up*, 8 September 2026).

At around 13x 2027e PE, CATL's valuation appears increasingly attractive even based on a more bearish consensus, which assumes 20% earnings growth next year. We believe the market is pricing in a tougher battery cycle, while CATL's scale, technology and competitive position remain largely intact. This underpins our continued preference for the stock.

The next catalyst is likely to be greater visibility, rather than valuation alone. Near-term earnings resilience could support a share-price recovery, but sustained re-rating requires evidence of three things: improving ESS demand conversion, resilient profit per GWh despite pricing pressure, and continued growth in overseas markets. Until then, CATL may remain fundamentally attractive without an immediate catalyst for multiple expansion.



知识星球：前沿信息收录
VX:FCCNN88

| | | Valuation | Risks |
|---|---|---|---|
| **CATL**<br>**300750 CH**<br>**3750 HK**<br><br>**A/H: Buy/Buy** | Current price:<br>**RMB298.38**<br>**HKD494.80**<br><br>Target price:<br>**RMB538.00**<br>**HKD783.00**<br><br>Upside:<br>**+80%/+58%** | We continue to use a DCF model to value CATL shares, with unchanged assumptions including a risk-free rate of 4.25%, a China stock market premium of 4.75%, a WACC of 5.7%, with a beta of 0.88, and a perpetual growth rate of 2.5% (all unchanged). Our A-share target price of RMB538.00 (unchanged) implies 80% upside; accordingly, we maintain our Buy rating on the stock. By applying an end-2026 RMB-HKD FX rate of 1.17 (unchanged) and an H-to-A-share premium of 25% (unchanged), we derive our H-share target price of HKD783.00 (unchanged). Our H-share target price implies c58% upside, and we maintain our Buy rating on the stock. | **Downside risks:** Worse-than-expected raw materials price hikes and pass-through; ASP and margin pressure after the launch of the rebate programme; potentially less favourable regulatory environment in overseas markets; weaker-than expected execution of CATL's overseas expansion and unfavourable overseas tariff policies; lower-than-expected EV/ESS market growth and market share wins; potential quality/IP disputes (especially in the global market). |

**Elaine Chen*** | elaine.chen@hsbcqh.com.cn | +86 010 5795 2364

Note: Priced at close of 12 October 2026. **Employed by a non-US affiliate of HSBC Securities (USA) Inc. and is not registered/qualified pursuant to FINRA regulations.*

Source: Bloomberg, HSBC Qianhai Securities estimates, HSBC

知识星球：前沿信息收录
更多一手投研资料扫码加微信

知识星球：前沿信息收录
VX:FCCNN88

# Disclosure appendix

**Analyst Certification**

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Yuqian Ding and Elaine Chen

**Important disclosures**

**Equities: Stock ratings and basis for financial analysis**

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

**HSBC assigns ratings on the following basis:**

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

**Rating distribution for long-term investment opportunities**

**As of 30 September 2026, the distribution of all independent ratings published by HSBC is as follows:**

| | | |
|---|---|---|
| **Buy** | 60% | (12% of these provided with Investment Banking Services in the past 12 months) |
| **Hold** | 35% | (12% of these provided with Investment Banking Services in the past 12 months) |
| **Sell** | 4% | (10% of these provided with Investment Banking Services in the past 12 months) |

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

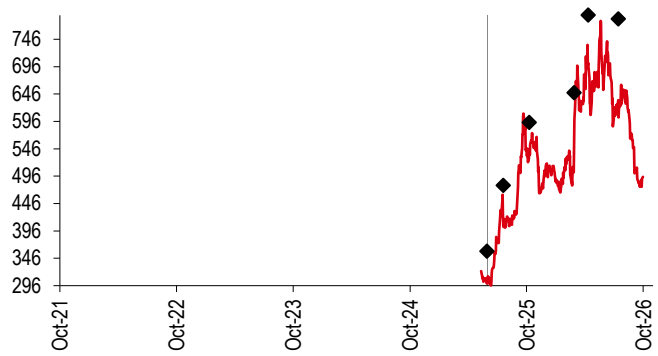
For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.



知识星球：前沿信息收录
VX:FCCNN88

## Share price and rating changes for long-term investment opportunities

### CATL (3750.HK) share price performance HKD Vs HSBC rating history



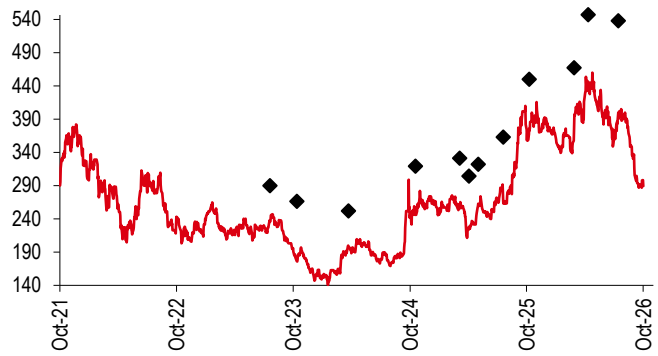

Source: HSBC

### Rating & target price history

| From | To | Date | Analyst |
|---|---|---|---|
| Buy | Buy | 10 Jun 2025 | Elaine Chen |
| **Target price** | **Value** | **Date** | **Analyst** |
| Price 1 | 359.00 | 10 Jun 2025 | Elaine Chen |
| Price 2 | 479.00 | 31 Jul 2025 | Elaine Chen |
| Price 3 | 594.00 | 21 Oct 2025 | Elaine Chen |
| Price 4 | 648.00 | 10 Mar 2026 | Elaine Chen |
| Price 5 | 790.00 | 23 Apr 2026 | Elaine Chen |
| Price 6 | 783.00 | 27 Jul 2026 | Elaine Chen |

Source: HSBC

### CATL A (300750.SZ) share price performance CNY Vs HSBC rating history




Source: HSBC

### Rating & target price history

| From | To | Date | Analyst |
|---|---|---|---|
| Buy | Buy | 30 Oct 2020 | Yuqian Ding |
| **Target price** | **Value** | **Date** | **Analyst** |
| Price 1 | 290.00 | 01 Aug 2023 | Yuqian Ding |
| Price 2 | 266.00 | 24 Oct 2023 | Yuqian Ding |
| Price 3 | 252.00 | 03 Apr 2024 | Yuqian Ding |
| Price 4 | 319.00 | 30 Oct 2024 | Yuqian Ding |
| Price 5 | 331.00 | 17 Mar 2025 | Elaine Chen |
| Price 6 | 304.00 | 15 Apr 2025 | Elaine Chen |
| Price 7 | 322.00 | 14 May 2025 | Elaine Chen |
| Price 8 | 363.00 | 31 Jul 2025 | Elaine Chen |
| Price 9 | 450.00 | 21 Oct 2025 | Elaine Chen |
| Price 10 | 467.00 | 10 Mar 2026 | Elaine Chen |
| Price 11 | 547.00 | 23 Apr 2026 | Elaine Chen |
| Price 12 | 538.00 | 27 Jul 2026 | Elaine Chen |

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

Clients of HSBC Private Bank: *www.research.privatebank.hsbc.com/Disclosures*

All other clients: *www.research.hsbc.com/A/Disclosures*

### HSBC & Analyst disclosures

### Disclosure checklist

| Company | Ticker | Recent price | Price date | Disclosure |
|---|---|---|---|---|
| CATL | 3750.HK | 494.80 | 12 Oct 2026 | 4, 7, 11 |
| CATL A | 300750.SZ | 289.10 | 13 Oct 2026 | 4, 7, 11 |

Source: HSBC

1 HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.

2 HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.

3 At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.

4 As of 30 September 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.

5 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.

知识星球：前沿信息收录
更多一手投研资料扫码加微信

知识星球：前沿信息收录
VX:FCCNN88

6 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.

7 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.

8 A covering analyst/s has received compensation from this company in the past 12 months.

9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.

10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.

11 At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.

12 As of 07 October 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

13 As of 07 October 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

14 HSBC Qianhai Securities Limited holds 1% or more of a class of common equity securities of this company.

HSBC and its affiliates will from time to time sell to and buy from customers the securities/instruments, both equity and debt (including derivatives) of companies covered in HSBC Research on a principal or agency basis or act as a market maker or liquidity provider in the securities/instruments mentioned in this report.

Analysts, economists, and strategists are paid in part by reference to the profitability of HSBC which includes investment banking, sales & trading, and principal trading revenues.

Whether, or in what time frame, an update of this analysis will be published is not determined in advance.

Non-U.S. analysts may not be associated persons of HSBC Securities (USA) Inc, and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with the subject company, public appearances and trading securities held by the analysts.

Economic sanctions laws imposed by certain jurisdictions such as the US, the EU, the UK, and others, may prohibit persons subject to those laws from making certain types of investments, including by transacting or dealing in securities of particular issuers, sectors, or regions. This report does not constitute advice in relation to any such laws and should not be construed as an inducement to transact in securities in breach of such laws.

For disclosures in respect of any company mentioned in this report, please see the most recently published report on that company available at *www.hsbcnet.com/research*. HSBC Private Bank clients should contact their Relationship Manager for queries regarding other research reports. In order to find out more about the proprietary models used to produce this report, please contact the authoring analyst.

HSBC may use Artificial Intelligence (AI) tools approved for adoption within HSBC in the development of its research reports, utilizing these technologies to analyse large volumes of data, enhance efficiency and improve the overall user experience. This includes but is not limited to paraphrasing, developing suitable captions and supporting data visualisation. It is important to note that while AI tools assist in various aspects of report creation, all investment recommendations and opinions presented herein are formulated and approved exclusively by our research analysts. The final content of the report reflects the professional judgement and expertise of our research analysts, ensuring compliance with regulatory standards and maintaining the integrity of our research process.



知识星球：前沿信息收录
VX:FCCNN88

**Additional disclosures**

1 This report is dated as at 13 October 2026.

2 All market data included in this report are dated as at close 12 October 2026, unless a different date and/or a specific time of day is indicated in the report.

3 HSBC has procedures in place to identify and manage any potential conflicts of interest that arise in connection with its Research business. HSBC's analysts and its other staff who are involved in the preparation and dissemination of Research operate and have a management reporting line independent of HSBC's Investment Banking business. Information Barrier procedures are in place between the Investment Banking, Principal Trading, and Research businesses to ensure that any confidential and/or price sensitive information is handled in an appropriate manner.

4 You are not permitted to use, for reference, any data in this document for the purpose of (i) determining the interest payable, or other sums due, under loan agreements or under other financial contracts or instruments, (ii) determining the price at which a financial instrument may be bought or sold or traded or redeemed, or the value of a financial instrument, and/or (iii) measuring the performance of a financial instrument or of an investment fund.

**Production & distribution disclosures**

1. This report was produced and signed off by the author on 13 Oct 2026 09:56 GMT.

2. In order to see when this report was first disseminated please see the disclosure page available at https://www.research.hsbc.com/R/34/LS6VgzV

知识星球：前沿信息收录
更多一手投研资料扫码加微信

知识星球：前沿信息收录
VX:FCCNN88

# Disclaimer

**Legal entities as at 13 May 2026:**
**HSBC Bank plc; HSBC Continental Europe; HSBC Continental Europe SA, Germany; HSBC Bank Middle East Limited, DIFC; HSBC Bank Middle East Limited, Dubai branch; HSBC Yatirim Menkul Degerler AS, Istanbul; The Hongkong and Shanghai Banking Corporation Limited, Hong Kong; The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch; HSBC Qianhai Securities Limited; HSBC Securities (Taiwan) Corporation Limited; HSBC Securities and Capital Markets (India) Private Limited, Mumbai; HSBC Bank Australia Limited; HSBC Securities (USA) Inc., New York; HSBC México, SA, Institución de Banca Múltiple, Grupo Financiero HSBC; Banco HSBC SA**

**Issuer of report**
**The Hongkong and Shanghai Banking Corporation Limited**
Level 16, 1 Queen's Road Central
Hong Kong SAR
Telephone: +852 2843 9111
Fax: +852 2596 0200
Website: www.research.hsbc.com

This document has been issued by The Hongkong and Shanghai Banking Corporation Limited ("HSBC") in the conduct of its Hong Kong regulated business for the information of its institutional and professional investor (as defined by Securities and Future Ordinance (Chapter 571)) customers; it is not intended for and should not be distributed to retail customers in Hong Kong, unless permitted otherwise. The Hongkong and Shanghai Banking Corporation Limited is regulated by the Hong Kong Monetary Authority. All enquires by recipients in Hong Kong must be directed to your HSBC contact in Hong Kong. If it is received by a customer of an affiliate of HSBC, its provision to the recipient is subject to the terms of business in place between the recipient and such affiliate. This document is not and should not be construed as an offer to sell or the solicitation of an offer to purchase or subscribe for any investment. HSBC has based this document on information obtained from sources it believes to be reliable but which it has not independently verified; HSBC makes no guarantee, representation or warranty and accepts no responsibility or liability as to its accuracy or completeness. Expressions of opinion are those of the Research Division of HSBC only and are subject to change without notice. From time to time research analysts conduct site visits of covered issuers. HSBC policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits. HSBC and its affiliates and/or their officers, directors and employees may have positions in any securities mentioned in this document (or in any related investment) and may from time to time add to or dispose of any such securities (or investment). HSBC and its affiliates may act as market maker or have assumed an underwriting commitment in the securities of companies discussed in this document (or in related investments), may sell them to or buy them from customers on a principal basis and may also perform or seek to perform investment banking or underwriting services for or relating to those companies. The document is intended to be distributed in its entirety. Unless governing law permits otherwise, you must contact a HSBC Group member in your home jurisdiction if you wish to use HSBC Group services in effecting a transaction in any investment mentioned in this document.

In the UK, this publication is distributed by HSBC Bank plc for the information of its Clients (as defined in the Rules of FCA) and those of its affiliates only. Nothing herein excludes or restricts any duty or liability to a customer which HSBC Bank plc has under the Financial Services and Markets Act 2000 or under the Rules of FCA and PRA. A recipient who chooses to deal with any person who is not a representative of HSBC Bank plc in the UK will not enjoy the protections afforded by the UK regulatory regime. HSBC Bank plc is regulated by the Financial Conduct Authority and the Prudential Regulation Authority.

In the European Economic Area, this publication has been distributed by HSBC Continental Europe or by such other HSBC affiliate from which the recipient receives relevant services.

In Japan, this publication has been distributed by HSBC Securities (Japan) Co., Ltd.. It may not be further distributed in whole or in part for any purpose. In Korea, this publication is distributed by either The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch ("HBAP SLS") or The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch ("HBAP SEL") for the general information of professional investors specified in Article 9 of the Financial Investment Services and Capital Markets Act ("FSCMA"). This publication is not a prospectus as defined in the FSCMA. It may not be further distributed in whole or in part for any purpose. Both HBAP SLS and HBAP SEL are regulated by the Financial Services Commission and the Financial Supervisory Service of Korea. In Singapore, this publication is distributed by The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch for the general information of institutional investors or other persons specified in Sections 274 and 304 of the Securities and Futures Act 2001 of Singapore ("SFA") and accredited investors and other persons in accordance with the conditions specified in Sections 275 and 305 of the SFA. Only Economics or Currencies reports are intended for distribution to a person who is not an Accredited Investor, Expert Investor or Institutional Investor as defined in SFA. The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch accepts legal responsibility for the contents of reports. This publication is not a prospectus as defined in the SFA. It may not be further distributed in whole or in part for any purpose. The Hongkong and Shanghai Banking Corporation Limited Singapore Branch is regulated by the Monetary Authority of Singapore. Recipients in Singapore should contact a "Hongkong and Shanghai Banking Corporation Limited, Singapore Branch" representative in respect of any matters arising from, or in connection with this report. Please refer to The Hongkong and Shanghai Banking Corporation Limited Singapore Branch's website at www.business.hsbc.com.sg for contact details. In Australia, this publication has been distributed by The Hongkong and Shanghai Banking Corporation Limited (ABN 65 117 925 970, AFSL 301737) for the general information of its "wholesale" customers (as defined in the Corporations Act 2001). Where distributed to retail customers, this research is distributed by HSBC Bank Australia Limited (ABN 48 006 434 162, AFSL No. 232595). These respective entities make no representations that the products or services mentioned in this document are available to persons in Australia or are necessarily suitable for any particular person or appropriate in accordance with local law. No consideration has been given to the particular investment objectives, financial situation or particular needs of any recipient.

HSBC Securities (USA) Inc. accepts responsibility for the content of this research report prepared by its non-US foreign affiliate. The information contained herein is under no circumstances to be construed as investment advice and is not tailored to the needs of the recipient. All US persons receiving and/or accessing this report and wishing to effect transactions in any security discussed herein should do so with HSBC Securities (USA) Inc. in the United States and not with its non-US foreign affiliate, the issuer of this report. HSBC México, S.A., Institución de Banca Múltiple, Grupo Financiero HSBC is authorized and regulated by Secretaría de Hacienda y Crédito Público and Comisión Nacional Bancaria y de Valores (CNBV). In Brazil, this document has been distributed by Banco HSBC SA ("HSBC Brazil"), and/or its affiliates. As required by Resolution No. 20/2021 of the Securities and Exchange Commission of Brazil (Comissão de Valores Mobiliários), potential conflicts of interest concerning (i) HSBC Brazil and/or its affiliates; and (ii) the analyst(s) responsible for authoring this report are stated on the chart above labelled "HSBC & Analyst Disclosures".

If you are a customer of HSBC International Wealth & Premier Banking ("IWPB"), including HSBC Private Bank, you are eligible to receive this publication only if: (i) you have been approved to receive relevant research publications by an applicable HSBC legal entity; (ii) you have agreed to the applicable HSBC entity's terms and conditions and/or customer declaration for accessing research; and (iii) you have agreed to the terms and conditions of any other internet banking, online banking, mobile banking and/or investment services offered by that HSBC entity, through which you will access research publications (collectively with (ii), the "Terms"). If you do not meet the above eligibility requirements, please disregard this publication and, if you are a IWPB customer, please notify your Relationship Manager or call the relevant customer hotline. Distribution of this publication is the sole responsibility of the HSBC entity with whom you have agreed the Terms. Receipt of research publications is strictly subject to the Terms and any other conditions or disclaimers applicable to the provision of the publications that may be advised by IWPB.

Should you wish to use AI technology (computational, statistical, machine-learning or other artificial intelligence techniques to infer or learn from data to find patterns, take actions, make decisions, or generate output) to help you analyse, summarise or evaluate this publication and/or any other research materials provided to you by HSBC, you shall seek HSBC consent in advance of any such use and not upload this publication and/or any other research materials produced by HSBC to an AI system or otherwise use AI technology in connection with the research services HSBC provides to you without our consent.

© Copyright 2026, The Hongkong and Shanghai Banking Corporation Limited, ALL RIGHTS RESERVED. No part of this publication may be reproduced, stored in a retrieval system, or transmitted, on any form or by any means, electronic, mechanical, photocopying, recording, or otherwise, without the prior written permission of The Hongkong and Shanghai Banking Corporation Limited.

[1291397]



知识星球：前沿信息收录
VX:FCCNN88